

ROSS LENDING SOLUTIONS LLC

Anti-Money Laundering & Bank Secrecy Act Compliance Program

Complete Policy & Procedures Manual

305 Bruce Ave, Dumas, TX 79029
www.rosslending.com

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Version 1.0

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TABLE OF CONTENTS

- Section 1** — Program Overview & Purpose
- Section 2** — BSA/AML Compliance Officer Designation
- Section 3** — Customer Identification Program (CIP)
- Section 4** — Customer Due Diligence (CDD)
- Section 5** — Enhanced Due Diligence (EDD)
- Section 6** — Beneficial Ownership Requirements
- Section 7** — OFAC Sanctions Compliance
- Section 8** — Politically Exposed Persons (PEP) Policy
- Section 9** — Suspicious Activity Monitoring & SAR Filing
- Section 10** — Currency Transaction Reporting (CTR)
- Section 11** — Record Retention Policy
- Section 12** — Risk Assessment Framework
- Section 13** — Employee Training Program
- Section 14** — Independent Testing & Audit
- Section 15** — Digital Currency / Virtual Asset Policy
- Section 16** — Prohibited & Restricted Activities
- Section 17** — Policy Review & Amendment

SECTION 1: PROGRAM OVERVIEW & PURPOSE

1.1 Purpose

This Anti-Money Laundering and Bank Secrecy Act Compliance Program (the "Program") establishes the policies, procedures, and internal controls of Ross Lending Solutions LLC ("Company" or "Ross Lending") to ensure compliance with all applicable federal and state anti-money laundering laws and regulations, including but not limited to:

- The Bank Secrecy Act (BSA), 31 U.S.C. §§ 5311-5332
- USA PATRIOT Act of 2001 (P.L. 107-56)
- FinCEN Regulations, 31 C.F.R. Chapter X
- Office of Foreign Assets Control (OFAC) Sanctions Programs
- Texas Finance Code, Chapter 342 (Regulated Lending)
- OCCC Administrative Rules and Guidelines

1.2 Company Profile

Ross Lending Solutions LLC is a Texas limited liability company engaged in regulated consumer installment lending under Texas Finance Code Chapter 342, Subchapter E. The Company operates from a single location at 305 Bruce Ave, Dumas, TX 79029, and serves the local community in the Texas Panhandle region (primarily Moore County and surrounding areas).

1.3 Products & Services

The Company offers the following financial products:

- Regulated installment loans from \$100 to \$10,000
- Fixed interest rates with scheduled monthly payments
- All loans comply with OCCC rate caps under Texas Chapter 342, Subchapter E

The Company does NOT offer: commercial loans, mortgage loans, payday loans, title loans, money transmission services, wire transfer services, currency exchange, or any cryptocurrency-related services.

1.4 Program Pillars

This Program is built upon five (5) core pillars as required by federal regulation:

- **Designation of a BSA/AML Compliance Officer**
- **Development of internal policies, procedures, and controls**
- **Ongoing employee training program**
- **Independent testing/audit of the program**
- **Risk-based procedures for conducting due diligence**

Approved By: _____

Yoandy Ross

Managing Member / CEO

Date: ____/____/2026

Ross Lending Solutions LLC

SECTION 2: BSA/AML COMPLIANCE OFFICER DESIGNATION

2.1 Designation

The Company hereby designates **Yoandy Ross, Managing Member and CEO**, as the BSA/AML Compliance Officer ("Compliance Officer"). The Compliance Officer has full authority and responsibility for the development, implementation, maintenance, and enforcement of this Program.

2.2 Responsibilities

The Compliance Officer shall:

- Ensure full compliance with all BSA/AML laws, regulations, and FinCEN guidance
- Oversee the Customer Identification Program (CIP) and due diligence procedures
- Review and approve all Suspicious Activity Reports (SARs) before filing
- Ensure timely filing of Currency Transaction Reports (CTRs)
- Conduct or supervise OFAC screening for all new and existing customers
- Maintain all required records for a minimum of five (5) years
- Coordinate annual independent testing of the BSA/AML program
- Develop and deliver BSA/AML training to all employees at least annually
- Serve as the primary point of contact for regulatory inquiries and examinations
- Report program status and findings to the Company's management at least quarterly

2.3 Authority

The Compliance Officer has the authority to suspend or terminate any customer relationship that presents unacceptable BSA/AML risk, and to escalate any concerns directly to law enforcement or regulatory agencies as required by law.

SECTION 3: CUSTOMER IDENTIFICATION PROGRAM (CIP)

3.1 Overview

In accordance with Section 326 of the USA PATRIOT Act and FinCEN's Customer Identification Program rules, the Company will verify the identity of each customer who opens a new account or applies for a loan. No loan shall be funded until satisfactory identification has been obtained and verified.

3.2 Required Information — Individual Customers

The Company shall collect the following minimum information from each individual customer:

- **Full legal name** (first, middle, last)
- **Date of birth**
- **Residential address** (physical street address; no P.O. boxes as sole address)
- **Social Security Number (SSN)** or Individual Taxpayer Identification Number (ITIN)
- **Government-issued photo identification** (driver's license, state ID, passport, or matricula consular)

3.3 Verification Methods

Customer identity shall be verified through a combination of:

- **Documentary verification:** Review of unexpired government-issued photo ID
- **Non-documentary verification:** Cross-referencing provided information against independent data sources (credit bureaus, public records, third-party databases)
- **SSN verification:** Validation through authorized verification services

3.4 Inability to Verify

If the Company is unable to verify the identity of a customer through the methods described above, the Company shall:

- Not open the account or fund the loan
- Close any existing account after reasonable attempts to verify
- File a SAR if circumstances warrant
- Document all actions taken in the customer file

3.5 Customer Notice

The Company shall provide all customers with adequate notice that information is being requested to verify their identity, as required by law. The following notice shall be displayed at the office and included in loan applications:

"IMPORTANT INFORMATION ABOUT PROCEDURES FOR OPENING A NEW ACCOUNT OR OBTAINING A LOAN: To help the government fight the funding of terrorism and money laundering activities, federal law requires all financial institutions to obtain, verify, and record information that identifies each person who opens an account or obtains a loan. What this means for you: When you apply for a loan, we will ask for your name, address, date of birth, and other information that will allow us to identify you. We may also ask to see your driver's license or other identifying documents."

3.6 Recordkeeping

The Company shall retain copies of all identification documents and verification records for a minimum of five (5) years after the account is closed or the loan is paid off, whichever occurs later.

SECTION 4: CUSTOMER DUE DILIGENCE (CDD)

4.1 Standard Due Diligence

The Company shall perform Customer Due Diligence on all customers at the time of onboarding and periodically thereafter. CDD includes:

- Identifying and verifying the identity of the customer (per CIP above)
- Understanding the nature and purpose of the customer relationship
- Assessing the customer's expected pattern of activity
- Conducting ongoing monitoring of the relationship for suspicious activity

4.2 Information Collected

In addition to CIP data, the Company shall collect:

- **Employment information:** Employer name, occupation, length of employment
- **Income information:** Monthly/annual gross income, source of income
- **Purpose of loan:** Stated reason for borrowing
- **Source of repayment:** How the customer intends to repay the loan

4.3 Risk Rating

Each customer shall be assigned a risk rating (Low, Medium, or High) based on the following factors:

- **Geographic risk:** Customer's residence, employment location
- **Product risk:** Type and size of loan requested
- **Customer risk:** Occupation, source of income, adverse information
- **Transaction risk:** Payment patterns, early payoff patterns, structuring indicators

4.4 Ongoing Monitoring

The Company shall conduct ongoing monitoring of customer relationships, including:

- Review of payment patterns for anomalies
- Periodic re-screening against OFAC/SDN lists
- Update of customer information at loan renewal or significant life events
- Escalation of any unusual or suspicious activity to the Compliance Officer

SECTION 5: ENHANCED DUE DILIGENCE (EDD)

5.1 Triggers for EDD

Enhanced Due Diligence shall be performed when any of the following conditions exist:

- Customer is rated as High Risk per the CDD risk assessment
- Customer is identified as a Politically Exposed Person (PEP) or PEP associate
- Customer resides in or has significant connections to a high-risk jurisdiction
- Adverse media or negative information is identified about the customer
- Transaction patterns are inconsistent with the customer's stated profile
- Customer is unable or unwilling to provide requested documentation

5.2 EDD Procedures

When EDD is triggered, the following additional steps shall be taken:

- Obtain senior management approval (Compliance Officer) before establishing or continuing the relationship
- Conduct enhanced verification of the customer's source of funds and source of wealth
- Increase the frequency of ongoing monitoring
- Obtain and review additional documentation as appropriate
- Document the rationale for accepting or declining the customer

5.3 Approval & Documentation

All EDD decisions must be documented in the customer file and approved by the Compliance Officer. The documentation shall include the risk factors identified, the additional measures taken, and the final decision with supporting rationale.

SECTION 6: BENEFICIAL OWNERSHIP REQUIREMENTS

6.1 Applicability

While Ross Lending primarily serves individual consumers, in the event the Company extends credit to any legal entity, the Company shall comply with FinCEN's Beneficial Ownership Rule (31 CFR § 1010.230) and identify:

- Each individual who owns 25% or more of the equity interests of the legal entity
- One individual who has significant responsibility to control, manage, or direct the legal entity (the "Control Person")

6.2 Verification

Beneficial owners shall be identified and verified using the same CIP procedures applicable to individual customers. The Company shall obtain government-issued photo ID and SSN/ITIN for each beneficial owner.

6.3 Threshold

The beneficial ownership identification threshold is **25%** direct or indirect equity ownership.

SECTION 7: OFAC SANCTIONS COMPLIANCE

7.1 Policy Statement

Ross Lending Solutions LLC is committed to full compliance with all economic and trade sanctions programs administered by the U.S. Department of the Treasury's Office of Foreign Assets Control (OFAC). The Company shall not engage in any transaction with, or provide any financial service to, any individual or entity on OFAC's Specially Designated Nationals and Blocked Persons List (SDN List) or any other OFAC sanctions list.

7.2 Screening Procedures

The Company shall conduct OFAC screening at the following points:

- **New customer onboarding:** Before any loan is funded, the applicant's full legal name (and any aliases) shall be screened against the SDN List and all OFAC sanctions lists
- **Periodic re-screening:** All active customer records shall be re-screened when OFAC updates its lists (approximately every 2-4 weeks)
- **Trigger events:** Any customer name change, address change, or addition of authorized parties shall trigger immediate re-screening

7.3 Screening Method

Screening shall be conducted using the OFAC SDN Search Tool available at <https://sanctionssearch.ofac.treas.gov/> and/or through third-party compliance screening services. The Compliance Officer shall maintain records of all screening performed.

7.4 Potential Match Procedures

In the event of a potential OFAC match:

- The transaction shall be immediately halted or blocked
- The Compliance Officer shall conduct a detailed review to determine if the match is a true positive or false positive
- If a true positive is confirmed, the Company shall block the transaction and file a blocking report with OFAC within 10 business days
- All blocking actions shall be documented and maintained for five (5) years
- The Company shall NOT inform the customer of the match or blocking action ("tipping off" prohibition)

SECTION 8: POLITICALLY EXPOSED PERSONS (PEP) POLICY

8.1 Definition

A Politically Exposed Person (PEP) is any individual who is or has been entrusted with a prominent public function, including but not limited to:

- Heads of state, government officials, legislators, judges
- Senior executives of state-owned corporations
- High-ranking military officers
- Senior political party officials
- Immediate family members and close associates of the above

8.2 PEP Screening

All customers shall be screened for PEP status at onboarding and periodically thereafter. Screening shall include direct inquiry and verification against public databases and media sources.

8.3 PEP Risk Management

If a customer is identified as a PEP:

- The relationship requires Compliance Officer approval before onboarding
- Enhanced Due Diligence (Section 5) shall be applied
- Source of funds and source of wealth must be independently verified
- Ongoing monitoring shall be conducted at an elevated frequency
- The customer's risk rating shall be set to High

SECTION 9: SUSPICIOUS ACTIVITY MONITORING & SAR FILING

9.1 Obligation to Report

The Company is required to file a Suspicious Activity Report (SAR) with FinCEN when it knows, suspects, or has reason to suspect that a transaction:

- Involves funds derived from illegal activity or is intended to disguise funds derived from illegal activity
- Is designed to evade any BSA/AML requirement
- Has no business or apparent lawful purpose
- Involves the use of the Company to facilitate criminal activity

9.2 Red Flags

Employees shall be trained to recognize the following red flags:

- Customer provides false or inconsistent identification information
- Customer is reluctant to provide required information
- Loan proceeds are immediately transferred to third parties with no apparent connection
- Customer makes unusually large cash payments inconsistent with their stated income
- Customer attempts to structure payments to avoid reporting thresholds
- Customer requests changes to loan terms that have no economic rationale
- Customer's transaction patterns change significantly without explanation

9.3 Filing Procedures

SARs shall be filed electronically through FinCEN's BSA E-Filing System within **30 calendar days** of the initial detection of the suspicious activity. If no suspect is identified, the filing deadline extends to 60 days. The Compliance Officer is responsible for all SAR filings.

9.4 Confidentiality

SAR filings are strictly confidential. No employee shall disclose to the subject of the SAR (or any unauthorized person) the existence of a SAR or the fact that suspicious activity has been reported. Violation of SAR confidentiality is a federal crime.

SECTION 10: CURRENCY TRANSACTION REPORTING (CTR)

10.1 Reporting Threshold

The Company shall file a Currency Transaction Report (CTR) with FinCEN for any cash transaction exceeding **\$10,000** in a single business day (whether in a single transaction or multiple transactions that aggregate to more than \$10,000).

10.2 Filing Timeline

CTRs shall be filed electronically through FinCEN's BSA E-Filing System within **15 calendar days** of the date of the transaction.

10.3 Anti-Structuring

The Company shall monitor for and report any suspected structuring of cash transactions designed to evade the \$10,000 reporting threshold. Employees shall not inform customers of the \$10,000 reporting threshold or assist customers in structuring transactions.

SECTION 11: RECORD RETENTION POLICY

11.1 Retention Period

The Company shall retain the following records for a minimum of **five (5) years**:

Record Type	Retention Period
Customer identification documents (CIP)	5 years after account closure
Loan applications and supporting documents	5 years after loan payoff
Transaction records and payment histories	5 years
OFAC screening results	5 years
SAR filings and supporting documentation	5 years from filing date
CTR filings	5 years from filing date
CDD/EDD documentation	5 years after relationship ends
Employee training records	5 years
Independent audit/testing reports	5 years
Compliance Officer reports	5 years

11.2 Storage

Records shall be maintained in secure digital format with appropriate backup procedures. Physical documents shall be stored in a locked, fire-resistant cabinet at the Company's office. Digital records are maintained in the Company's encrypted database system.

SECTION 12: RISK ASSESSMENT FRAMEWORK

12.1 Purpose

The Company shall conduct a comprehensive BSA/AML risk assessment at least annually to identify, measure, and mitigate money laundering and terrorist financing risks inherent in its operations.

12.2 Risk Categories

A. Product Risk

The Company's primary product is regulated consumer installment loans. Product risk is assessed as **LOW to MODERATE** because:

- All loans are fully documented and regulated by the OCC
- Loan amounts are relatively small (\$100 - \$10,000)
- Loan proceeds are disbursed via check or ACH (no cash disbursements)
- Payments are typically made by check, ACH, or cash at the office

B. Customer Risk

The Company's customer base consists primarily of local residents in the Texas Panhandle. Customer risk is assessed as **LOW** because:

- Customers are predominantly local, known community members
- No foreign customers or non-resident aliens
- No MSBs, shell companies, or high-risk business entities as customers
- No PEPs identified in the current customer base

C. Geographic Risk

The Company operates exclusively in Dumas, TX (Moore County). Geographic risk is assessed as **LOW** because:

- No operations near international borders (>300 miles from Mexico border)
- No operations in High Intensity Drug Trafficking Areas (HIDTA)
- No international transactions or cross-border activity

D. Overall Risk Assessment

Based on the above analysis, the Company's overall BSA/AML risk profile is assessed as **LOW**. The Company will continue to monitor risk factors and update this assessment at least annually or when significant changes occur in the Company's operations, products, or customer base.

SECTION 13: EMPLOYEE TRAINING PROGRAM

13.1 Initial Training

All employees shall complete BSA/AML compliance training within **30 days** of their start date. Initial training shall cover:

- Overview of BSA/AML laws and regulations
- The Company's AML policies and procedures
- Customer Identification Program (CIP) requirements
- Recognizing and reporting suspicious activity (red flags)
- OFAC sanctions compliance
- CTR and SAR filing obligations
- Consequences of non-compliance (criminal and civil penalties)

13.2 Annual Refresher Training

All employees shall complete annual refresher training that includes:

- Updates to laws, regulations, and FinCEN guidance
- Review of the Company's AML policies and any changes
- Case studies of suspicious activity relevant to consumer lending
- Updated red flags and typologies

13.3 Training Records

The Compliance Officer shall maintain records of all training conducted, including date, topic, attendees, and training materials. Training records shall be retained for five (5) years.

13.4 Training Schedule for 2026

Date	Topic	Attendees
Upon hire	Initial BSA/AML Compliance Training	All new employees
June 2026	Annual BSA/AML Refresher	All employees
Ongoing	OFAC list updates and screening procedures	Compliance Officer
As needed	Ad hoc training on new regulatory guidance	All employees

SECTION 14: INDEPENDENT TESTING & AUDIT

14.1 Requirement

The Company shall conduct independent testing of its BSA/AML program at least once every **12-18 months**. Testing may be performed by a qualified external party (CPA, attorney, or BSA/AML consultant) or by an internal party who is not involved in the day-to-day BSA/AML operations.

14.2 Scope of Testing

Independent testing shall evaluate:

- Adequacy of the Company's BSA/AML policies and procedures
- Effectiveness of CIP and CDD processes
- Quality and timeliness of SAR and CTR filings
- Accuracy of OFAC screening
- Adequacy of employee training
- Completeness of record retention
- Accuracy of the risk assessment

14.3 Reporting

Testing results shall be documented in a written report provided to the Compliance Officer and senior management. Any deficiencies identified shall be tracked and remediated within 90 days.

SECTION 15: DIGITAL CURRENCY / VIRTUAL ASSET POLICY

15.1 Policy Statement

Ross Lending Solutions LLC **does not accept, process, facilitate, or engage in any transactions** involving digital currencies, virtual currencies, cryptocurrency, or virtual assets of any kind. This includes but is not limited to:

- Bitcoin, Ethereum, and all other cryptocurrencies
- Stablecoins (USDT, USDC, etc.)
- Non-fungible tokens (NFTs)
- Central Bank Digital Currencies (CBDCs)
- Any other form of digital or virtual asset

15.2 Prohibited Activities

The following activities are strictly prohibited:

- Accepting cryptocurrency as payment for any loan obligation
- Disbursing loan proceeds in cryptocurrency
- Facilitating the conversion of loan proceeds to cryptocurrency
- Accepting collateral in the form of digital assets
- Providing loans for the purpose of purchasing cryptocurrency

15.3 Enforcement

All loan disbursements and customer payments shall be conducted exclusively through traditional banking channels: ACH electronic transfer, company check, or cash at the Company's physical office. Any employee who becomes aware of a customer attempting to use digital currencies in connection with a loan transaction shall immediately report this to the Compliance Officer.

SECTION 16: PROHIBITED & RESTRICTED ACTIVITIES

16.1 Prohibited Customer Types

The Company shall NOT establish lending relationships with the following customer categories:

- Shell banks or entities serving shell banks
- Unlicensed money service businesses (MSBs)
- Casas de cambio (unlicensed currency exchange operations)
- Entities on the OFAC SDN List or any sanctions list
- Entities designated under Section 311 of the USA PATRIOT Act
- Anonymous or fictitious account holders
- Marijuana-related businesses (federal Schedule I substance)
- Businesses involved in adult entertainment / gambling (not licensed)
- Arms/defense/military equipment dealers
- Businesses involved in virtual/digital currencies

16.2 Restricted Customer Types (EDD Required)

The following customer types may be accepted only with Compliance Officer approval and Enhanced Due Diligence:

- Politically Exposed Persons (PEPs) and their associates
- Non-resident customers
- Customers with adverse media findings
- Regulated charitable organizations
- Non-governmental organizations (NGOs)

16.3 Prohibited Transactions

- Structuring cash transactions to avoid CTR reporting
- Facilitating transactions with sanctioned persons or entities
- Knowingly processing funds derived from illegal activity
- Any transaction designed to evade BSA/AML requirements

SECTION 17: POLICY REVIEW & AMENDMENT

17.1 Annual Review

This Program shall be reviewed and updated at least **annually** by the Compliance Officer. The review shall consider:

- Changes in applicable laws and regulations
- FinCEN advisories and guidance
- Results of independent testing
- Changes in the Company's products, services, or customer base
- Identified deficiencies or incidents
- Industry best practices and emerging risks

17.2 Version Control

Version	Date	Description	Approved By
1.0	May 2026	Initial Program Establishment	Yoandy Ross

17.3 Distribution

This Program shall be made available to all employees. All employees shall acknowledge receipt and understanding of this Program in writing.

APPROVAL AND ADOPTION

I, **Yoandy Ross**, Managing Member and CEO of Ross Lending Solutions LLC, hereby approve and adopt this Anti-Money Laundering and Bank Secrecy Act Compliance Program, effective as of the date signed below. I certify that this Program represents the Company's good-faith effort to comply with all applicable BSA/AML laws and regulations, and I commit to ensuring its ongoing implementation and enforcement.

Yoandy Ross
Managing Member / CEO
Ross Lending Solutions LLC
305 Bruce Ave, Dumas, TX 79029

Date